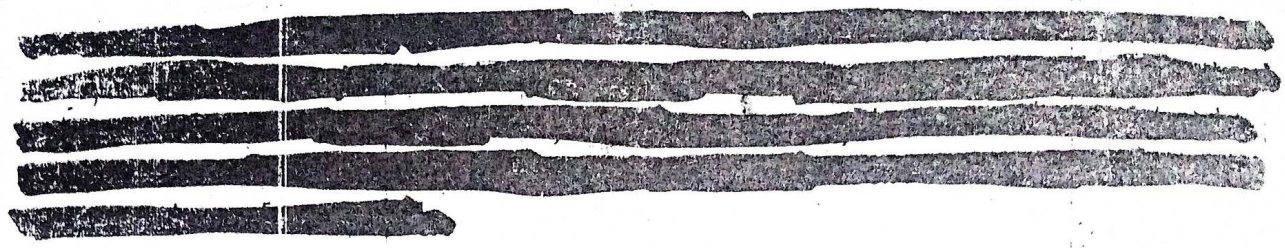
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6. Disequilibrium in Balance of Payments

A disequilibrium in the *BOP* of a country may be either a deficit or a surplus. A deficit or surplus in *BOP* of a country appears when its autonomous receipts (credits) do not match its autonomous payments (debits). If autonomous credit receipts exceed autonomous debit payments, there is a surplus in the *BOP* and the disequilibrium is said to be *favourable*. On the other hand, if autonomous debit payments exceed autonomous credit receipts, there is a *deficit* in the *BOP* and the disequilibrium is said to be unfavourable or adverse.[5]

Causes of Disequilibrium

There are many factors that may lead to a *BOP* deficit or surplus:

1. **Temporary Changes (or Disequilibrium).** There may be a temporary disequilibrium caused by random variations in trade, seasonal fluctuations, the effects of weather on agricultural production, etc. Deficits or surpluses arising from such temporary causes are expected to correct themselves within a short time.

2. **Fundamental Disequilibrium.** Fundamental disequilibrium refers to a persistent and long-run *BOP* disequilibrium of a country. It is a chronic *BOP* deficit, according to *IMF*. It is caused by such dynamic factors as : (1) Changes in consumer tastes within the country or abroad which reduce the country's exports and increase its imports. (2) Continuous fall in the country's foreign exchange reserves due to supply inelasticities of exports and excessive demand for foreign goods and services. (3) Excessive capital outflows due to massive

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imports of capital goods, raw materials, essential consumer goods, technology and external indebedness. (4) Low competitive strength in world markets which adversly affects exports. (5) Inflationary pressures within the economy which make exports dearer.

3. **Structural Changes (or Disequilibrium).** Structural changes bring about disequilibrium in *BOP* over the long run. They may result from the following factors: (*a*) Technological changes in methods of production of products in domestic industries or in the industries of other countries. They lead to changes in costs, prices and quality of products. (*b*) Import restrictions of all kinds bring about disequilibrium in *BOP*. (*c*) Deficit in *BOP* also arises when a country suffers from deficiency of resources which it is required to import from other countries. (*d*) Disequilibrium in *BOP* may also be caused by changes in the supply or direction of long-term capital flows. More and regular flow of long-term capital may lead to *BOP* surplus, while an irregular and short supply of capital brings *BOP* deficit.

4. **Changes in Exchange Rates.** Changes in foreign exchange rate in the form of overvaluation or undervaluation of foreign currency lead to *BOP* disequilibrium. When the value of currency is higher in relation to other currencies, it is said to be overvalued. Opposite is the case of an undervalued currency. Overvaluation of the domestic currency makes foreign goods cheaper and exports dearer in foreign countries. As a result, the country imports more and exports less of goods. There is also outflow of capital. This leads to unfavourable *BOP*. On the contrary, undervaluation of the currency makes *BOP* favourable for the country by encouraging exports and inflow of capital and reducing imports.

5. The distinction between deficit and disequilibrium in *BOP* should be clearly understood. The former refers tounfavourable or adverse *BOP* as explained above whereas disequilibrium refers to a deficit or surplus in *BOP*.

5. **Cyclical Fluctuations (or Disequilibrium).** Cyclical fluctuations in business activity also lead to *BOP* disequilibrium. When there is depression in a country, volumes of both exports and imports fall

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drastically in relation to other countries. But the fall in exports may be more than that of imports due to decline in domestic production. Therefore, there is an adverse *BOP* situation. On the other hand, when there is boom in a country in relation to other countries, both exports and imports may increase. But there can be either a surplus or deficit in *BOP* situation depending upon whether the country exports more than imports or imports more than exports. In both the cases, there will be disequilibrium in BOP.

6. **Changes in National Income.** Another cause is the change in the country's national income. If the national income of a country increases, it will lead to an increase in imports thereby creating a deficit in its balance of payments, other things remaining the same. If the country is already at full employment level, an increase in income will lead to inflationary rise in prices which may increase its imports and thus bring disequilibrium in the balance of payments.

7. **Price Changes.** Inflation or deflation is another cause of disequilibrium in the balance of payments. If there is inflation in the country, prices of exports increase. As a result, exports fall. At the same time, the demand for imports increase. Thus increase in export prices leading to decline in exports and rise in imports results in adverse balance of payments.

8. **Stage of Economic Development.** A country's balance of payments also depends on its stage of economic development. If a country is developing, it will have a deficit in its balance of payments because it imports raw materials, machinery, capital equipment, and services associated with the development process and exports primary products. The country has to pay more for costly imports and gets less for its cheap exports. This leads to disequilibrium in its balance of payments.

9. **Capital Movements.** Borrowings and lendings or movements of capital by countries also result in disequilibrium in BOP. A country which gives loans and grants on a large scale to other countries has a deficit in its *BOP* on capital account. If it is also importing more, as is the case with the USA, it will have chronic deficit. On the other

hand, a developing country brorrowing large funds from other countries and international institutions may have a favourable BOP. But such a possibility is remote because these countries usually import huge quanties of food, raw materials, capital goods, etc. and export primary products. Such borrowings simply help in reducing *BOP* deficit.

10. Political Conditions. Political condition of a country is another cause of disequilibrium in BOP. Political instability in a country creates uncertainty among foreign investors which leads to the outflow of capital and retards its inflow. This causes disequilibrium in *BOP* of the country. Disequilibrium in *BOP* also occurs in the event of war or fear of war with some other country.

Implications of Disequilibrium

A disequilibrium in the balance of payments whether a deficit or surplus has important implications for a country.

A deficit in the combined current and capital accounts is regarded as undesirable for the country. This is because such a deficit has to be covered by borrowing from abroad or attracting foreign exchange or capital from abroad. This may require paying high interest rates. There is also the danger of withdrawing money by foreigners, as happened in the case of the Asian crisis in the late 1990s. An alternative may be to draw on the reserves of the country which may also lead to a financial crises. Moreover, the reserves of a country being limited, they can be used to pay for *BOP* deficit upto a limit.

But the above analysis of a combined current and capital account deficit is not correct in practice. The reason being that a current account deficit is the same thing as a capital account surplus. However, it is beneficial for a country to have a current account deficit even if it equals capital account surplus in BOP. In the short-run, the country may benefit from a higher level of consumption through import of goods and consequently a higher standard of living. But the excess of imports over exports may be financed by

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foreign investments in the country. These may lead to increased production, employment and income in the country. In the long-run, foreign investors may purchase large assets in the country and thus adversely affect domestic industry as is the case with MNCs (multinational corporations).

The current account deficit in *BOP* of a country may have either good or bad effects depending on the nature of an economy.

Take a country where domestic industries are rapidly growing and it has current account *BOP* deficit. These industries offer a high rate of return on their investment. This would, in return, attract foreign investments. As a result, the country would have a capital account surplus due to the inflow of capital and a current account deficit. This current account deficit is good for the economy. No doubt, the external debt of the country increases, but this debt is being utilised to finance the rapid growth of the economy. The real burden of this debt will be very low because it can be repaid out of higher income in the future.

On the contrary, a country having an inefficient and unproductive domestic industry will be adversely affected by its current account BOP deficit. The country borrows from abroad to finance the excess of spending over consumption. To attract foreign borrowings, the country will have to pay high interest rates. These will increase the money burden of the debt. The real burden of the debt will also increase because of the low productive capacity of domestic industries. If the current consumption is being financed by foreign borrowings, the wealth of the economy will decline. This, in turn, will lead to either a reduction in domestic expenditure or a change in government policy so as to control the rising debt.

On the other hand, if foreign borrowings are being used to finance real investment, the current account *BOP* deficit will be beneficial for the economy. A higher rate of return on real investment than the interest on foreign borrowings would increase the country's wealth over time through rise in its national income. Thus a current account *BOP* deficit is not always undesirable for a country.

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7. Measures to Correct Deficit in Balance of Payments[6]

When there is a deficit in the balance of payments of a country, adjustment is brought about automatically through price and income changes or by adopting certain policy measures like export promotion, monetary and fiscal policies, devaluation and direct controls. We study these as follows:

1. Adjustment through Exchange Depreciation (Price Effect)

Under flexible exchange rates, the disequilibrium in the balance of payments is automatically solved by the forces of demand and supply for foreign exchange. An exchange rate is the price of a currency which is determined, like any other commodity, by demand and supply. "The exchange rate varies with varying supply and demand conditions, but it is always possible to find an equilibrium exchange rate which clears the foreign exchange market and creates external equilibrium."[7] This is automatically achieved by depreciation of a country's currency in case of deficit in its balance of payments. Depreciation of a currency means that its relative value decreases. Depreciation has the effect of encouraging exports and discouraging imports. When exchange depreciation takes place, foreign prices are translated into domestic prices. Suppose the dollar depreciates in relation to the pound. It means, that the price of dollar falls in relation to the pound in the foreign exchange market. This leads to the lowering of the prices of U.S. exports in Britain and raising of the prices of British imports in the U.S. When import prices are higher in the U.S., the Americans will purchase less goods from the Britishers. On the other hand, lower prices of U.S. exports will increase exports and diminish imports, thereby bringing equilibrium in the balance of payments.

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6. If the question relates to disequilibrium in *BOP* , then measures opposite to whatever are given in the paras shouldalso be explained relating to *BOP* surplus, such as appreciation, revaluation, etc. The best answer would be to writeat the end of each para : The opposite measures would be adopted in case of *BOP* surplus. Mention the measures inthe dotted portion.

1. Bo Sodersten, *International Economics*, p. 215.

2. Devaluation or Expenditure-Switching Policy

Devaluation raises the domestic price of imports and reduces the foreign price of exports of a country devaluing its currency in relation to the currency of another country. Devaluation is referred to as expenditure switching policy because it switches expenditure from imported to domestic goods and services. When a country devalues its currency, the price of foreign currency increases which makes imports dearer and exports cheaper. This causes expenditures to be switched from foreign to domestic goods as the country's exports rise and the country produces more to meet the domestic and foreign demand for goods with reduction in imports. Consequently, the balance of payments deficit is eliminated.

3. Direct Controls

To correct disequilibrium in the balance of payments, government also adopts direct controls which aim at limiting the volume of imports. The government restricts the import of undesirable or unimportant items by levying heavy import duties, fixation of quotas, etc. At the same time, it may allow imports of essential goods duty free or at lower import duties, or fix liberal import quotas for them. For instance, the government may allow free entry of capital goods, but impose heavy import duties on luxuries. Import quotas are also fixed and the importers are required to take licenses from the authorities in order to import certain essential commodities in fixed quantities. In these ways, imports are reduced in order to correct an adverse balance of payments. The government also imposes

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exchange controls. Exchange controls have a dual purpose. They restrict imports and also control and regulate the foreign exchange. With reduction in imports and control of foreign exchange, visible and invisible imports are reduced. Consequently, an adverse balance of payment is corrected.

4. Adjustment through Capital Movements

A country can use capital imports to correct a deficit in its balance of payments. A deficit can be financed by capital inflows. When capital is perfectly mobile within countries, a small rise in the domestic rate of interest brings a large inflow of capital. The balance of payments is said to be in equilibrium when the domestic interest rate equals the world rate. If the domestic interest rate is higher than the world rate, there will be capital inflows and the balance of payments deficit is corrected.

5. Adjustment through Income Changes

Given the foreign exchange rate and prices in a country, an increase in the value of exports, causes an increase in the incomes of all persons associated with the export industries. These, in turn, create demand for other goods and services within the country. This will raise the incomes of persons engaged in the latter industries and services. This process will continue and the national income increases by the value of the multiplier.

6. Stimulation of Exports and Import Substitutes

A deficit in the balance of payments can also be corrected by encouraging exports. Exports can be encouraged by producing quality products, by increasing exports through increased production and productivity, and by better marketing. They can also be increased by a policy of import substitution. It means that the country produces those goods which it imports. In the beginning, imports are reduced but in the long run exports of such goods start. An increase in exports cause the national income to rise by many times through

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the operation of the foreign trade multiplier. The foreign trade multiplier expresses the change in income caused by a change in exports. Ultimately, the deficit in the balance of payments is removed when exports rise faster than imports.

7. EXPENDITURE-REDUCING POLICIES

A deficit in the balance of payments implies an excess of expenditure over income. To correct it, expenditure and income should be brought into equality. For this expenditure reducing monetary and fiscal policies are used. A contractionary or tight monetary policy relates to increase in interest rates to reduce money supply and a contractionary fiscal policy relates to reduction in government expenditure and or increase in taxes. Thus expenditure reducing policies reduce aggregate demand through higher taxes and interest rates, thereby reducing expenditure and output. The reduction in expenditure and output, in turn, reduces the domestic price level. This gives rise to switching of expenditure from foreign to domestic goods. Consequently, the country's imports are reduced and the balance of payments deficit is corrected.

EXERCISES

1. Enumerate the principle items in the balance of payments of a country. How can a deficit in the balance of payments be corrected?

2. "Balance of Payments always balances." Elucidate. But how do you explain disequilibrium in balance of payments.

3. Distinguish between balance of payments and balance of trade. How can an unfavourable balance of payments be corrected?

4. What are the causes of an adverse balance of payments? Give suggestions to remove an unfavourable balance of payments?

5. Distinguish between : *(a)* Balance of Current Account and Balance of Capital Account; *(b)* Autonomous Balance and Overall

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